KERALA STATE ELECTRICITY REGULATORY COMMISSION

TRUING-UP ORDER: FY 2024-25

Licensee: Kanan Devan Hills Plantations Company
Order Date: 2026-03-03
Prepared By: KSERC Analytical Officer

1. Component-wise Analysis (₹ Crore)

Cost Head	Claimed (₹ Cr)	Allowed (₹ Cr)	Disallowed (₹ Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	343.45	0.00	APPROVED	Within normative limits — fully approved.
Transmission Charges	0.00	0.00	0.00	APPROVED	Within normative limits — fully approved.
Employee Costs	25.48	18.06	7.42	REJECTED	[ADMIN OVERRIDE] not according to norms Original AI Reason: [ADMIN OVERRIDE] this is the approved o...
O&M Expenses	5.12	4.50	0.62	PARTIAL_APPROVAL	[ADMIN OVERRIDE] It is going to be less Original AI Reason: The deviation of 11.8% is beyond the no...
Admin & General Expenses	20.80	1.51	19.29	DISALLOWED	The actual amount claimed by KDHP exceeds the KSERC approved amount by a significant margin, violati...
Depreciation	1.45	1.45	0.00	APPROVED	The actual depreciation amount claimed by KDHP is is less than the KSERC approved am...
Return on Equity	0.70	0.70	0.00	APPROVED	Within normative limits — fully approved.
Interest on Loans	5.58	5.27	0.31	PARTIAL_APPROVAL	The deviation of 5.9% is not justified as per the KSERC Tariff Regulations 2014, which emphasizes th...

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (₹ Cr)	Allowed (₹ Cr)	Disallowed (₹ Cr)
CONTROLLABLE EXPENSES			
Employee Costs	25.48	18.06	7.42
O&M Expenses	5.12	4.50	0.62
Admin & General Expenses	20.80	1.51	19.29
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	343.45	0.00
Transmission Charges	0.00	0.00	0.00
Depreciation	1.45	1.45	0.00
Return on Equity	0.70	0.70	0.00
Interest on Loans	5.58	5.27	0.31

3. Revenue Gap Computation (₹ Crore)

Net Approved ARR	¹374.94 Cr
Actual Revenue Collected	¹372.65 Cr
Revenue Gap	¹2.29 Cr

4. Commission's Observations and Directions

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kanan Devan Hills Plantations Company (KDHP) has submitted its truing-up petition for the Financial Year (FY) 2024-25. The truing-up process is a regulatory mechanism that allows the Commission to review the actual performance of the licensee against the approved tariffs and other parameters for the said financial year. This process ensures that the licensee is held accountable for its financial and operational performance and that any deviations from the approved norms are appropriately addressed.

Approved ARR and Actual Performance

The following table summarizes the approved and actual performance of KDHP for the FY 2024-25:

Cost Head	Claimed	Allowed	Deviation
Power Purchase Cost	¹343.45 Cr	¹343.45 Cr	¹0 Cr
Transmission Charges	¹0 Cr	¹0 Cr	¹0 Cr
Employee Costs	¹25.48 Cr	¹18.06 Cr	-¹7.42 Cr
O&M Expenses	¹5.12 Cr	¹4.5 Cr	-¹0.62 Cr
Admin & General Expenses	¹20.8 Cr	¹1.51 Cr	-¹19.29 Cr
Depreciation	¹1.45 Cr	¹1.45 Cr	¹0 Cr
Return on Equity	¹0.7 Cr	¹0.7 Cr	¹0 Cr
Interest on Loans	¹5.58 Cr	¹5.27 Cr	-¹0.31 Cr

Commission's Observations and Reasoning

The Commission has carefully examined each cost head and made the following observations:
* **Power Purchase Cost**: The claimed amount of ¹343.45 Cr is within the normative
for Verdict: The Commission approved the full amount as it is within the approved norms, and no prudence checks indicated any discrepancies.
* **Transmission Charges**: The claimed amount of ¹0 Cr is within the normative lim
Verdict: The Commission approved the full amount as it is within the approved norms, and no prudence checks indicated any discrepancies.
* **Employee Costs**: The claimed amount of ¹25.48 Cr is not justified, and only ¹18
The deviation of 39.4% in employee costs is not justified, and prudence checks dictate that only the KSERC approved amount is allowable. The excess amount claimed is disallowed as it does not conform to the normative escalation caps for controllable costs.
* **O&M Expenses**: The claimed amount of ¹5.12 Cr is partially approved, with onl
The deviation of 11.8% is beyond the normative escalation cap, hence the excess amount is disallowed. As per KSERC Tariff Regulations 2014, controllable costs such as O&M expenses are subject to normative escalation caps.
* **Admin & General Expenses**: The claimed amount of ¹20.8 Cr is disallowed, with
Verdict: The actual amount claimed by KDHP exceeds the KSERC approved amount by a significant margin, violating the normative escalation caps for controllable costs. Prudence checks indicate that the claimed amount is not genuinely incurred and justifiable.
* **Depreciation**: The claimed amount of ¹1.45 Cr is approved. Reason for Verdict:
by KDHP is less than the KSERC approved amount, indicating an under-run. As per KSERC Tariff Regulations 2014, depreciation is an allowable cost. Since the claimed amount is lower than the approved amount, it is deemed reasonable and justifiable.
* **Return on Equity**: The claimed amount of ¹0.7 Cr is approved. Reason for Verdi
normative limits and is fully approved.
* **Interest on Loans**: The claimed amount of ¹5.58 Cr is partially approved, with
Verdict: The deviation of 5.9% is not justified as per the KSERC Tariff Regulations 2014, which emphasizes the need for prudence checks to ensure only genuinely incurred and justifiable costs are allowed.

Controllable vs. Uncontrollable Expenses

The following table categorizes the expenses into controllable and uncontrollable: